THE GROWTH DRIVERS

What the Q2 GDP growth has not factored in is the big consumption drive that happened in the festive season, which started late September. That too will be reflected in the Q3 numbers. Festive season demand was phenomenal this year, a prime example being car sales, which grew 23 per cent in the 42-day festive season (12 days of



"The economy is resilient... Steady growth is likely in coming quarters led by GST reduction and improved economic outlook"

SHARANG PANT, *Head, Consumer Success, FMCG, NielsenIQ*

September and all of October extending from Dussehra to Diwali). Sales of two-wheelers and commercial vehicles also saw similar spurts in this period.

Other sectors did exceptionally well, too. Overall, tech and durable categories grew 62 per cent in October year-on-year. Says Sharang Pant, head of customer success, FMCG, NielsenIQ in India, "The economy has shown resilience. Growth tapered in Q2 from tariff-related sentiments but October shows a revival. Steady growth is likely in coming quarters led by GST price reduction and improved economic/consumer outlook."

Growth was strongest in big-ticket purchases that offered deeper savings, such as TVs, refrigerators, washing machines and smartphones. Another key trend was premiumisation. Consumers are increasingly upgrading to higher-end products. All these, including improved sales in the F&B category, point to the fact that India's middle class, after years of wage stagnation and COVID-era caution, is ready to spend again. The combination of stable prices, rising incomes and lower EMIs may unleash what one economist called "the great Indian demand rebound". If this happens, it could create a feedback loop—consumption drives production, production drives jobs, jobs drive incomes—that sustains growth well beyond the immediate stimulus.

THE RBI STEPS IN

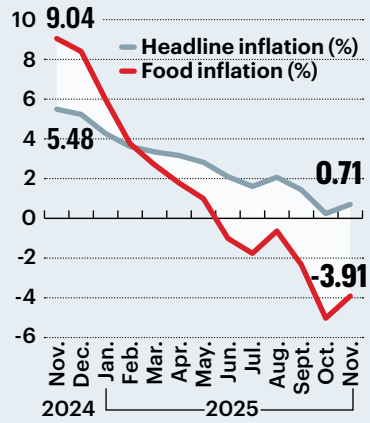
Due to the high Q2 growth, many expected the RBI to maintain a tight leash on interest rates in the December meeting of the monetary policy committee. But the central bank

THE ECONOMY IS SURGING...

INFLATION

EASING PRICES

Inflation remained in the lower range of RBI's target band (2-4%) for several months in a row, aided by lower food inflation



Source: MoSPI

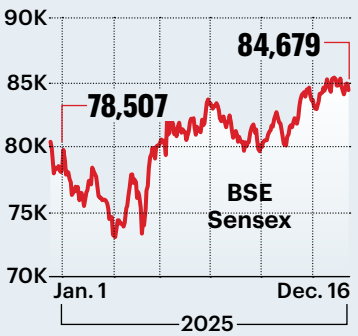


STOCK MARKET

CONFIDENCE BAROMETER

Equity gains reflect investor optimism around economic growth and domestic demand





Source: BSE

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